THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, ALLAHABAD

(through web-based video conferencing platform)

CA (CAA) No. 02/ALD/2023

(First Motion)

Under Sections 230 & 232 of the Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

Utkrisht Manpower Partners Pvt Ltd
having its registered office at
B-24, Surya Palace, Delhi Road,
Meerut-250 002, Uttar Pradesh
CIN: U 74910 UP 2012 PTC 121144

…Transferor Company No. 1/Applicant Company

Starla Media Pvt Ltd
having its registered office at
Cabin No. 2, 2nd Floor, E-109,
Pandav Nagar, Delhi-110 092
CIN: U 74300 DL 2008 PTC 182166

…Transferor Company No. 2/Non-Applicant Company

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Adheeshth Holding Pvt Ltd

having its registered office at
2/16, Ground Floor, Ansari Road,
Gali No. 2, Daryaganj, Behind Vijaya Bank,
New Delhi-110 002
CIN: U 67120 DL 2008 PTC 183961

…Transferee Company/Non-Applicant Company

Order pronounced on: 23.03.2023

CORAM:
Shri Praveen Gupta : Member (Judicial)
Shri Ashish Verma : Member (Technical)

Present:

For the Applicant Companies : 1. Mr Rajeev K Goel, Advocate
2. Mr Ankit K Singh, PCS

Per: Praveen Gupta, Member (Judicial)

ORDER

1. This is a First motion Application filed by the Applicant Company namely-**Utkrisht Manpower Partners Pvt Ltd** (the Transferor Company No. 1/Applicant Company) under Sections 230 & 232 of the Companies Act, 2013, read with Section 66 of the Companies Act, 2013

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(the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of Utkrisht Manpower Partners Pvt Ltd and Starla Media Pvt Ltd with Adheeshth Holding Pvt Ltd. The said Scheme is attached as Annexure: A-5 of the Application. The Transferor Company No. 1 has its registered office in the State of Uttar Pradesh and hence is under the jurisdiction of this Bench. Whereas, the Transferor Company No. 2 and the Transferee Company have their respective registered offices in the NCT of Delhi and hence are under the jurisdiction of the Hon'ble National Company Law Tribunal, Bench at New Delhi. The Learned Counsel for the Applicant Company submits that a separate 1st Motion joint Application being CA (CAA) 12 (ND) of 2023 on behalf of the Transferor Company No. 2 and the Transferee Company has already been filed before the New Delhi Bench-V which was heard on 27th February, 2023 and the Order has been reserved.

2. The Applicant Company has prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders and Un-secured Creditors of the Applicant Transferor Company No. 1. The Applicant Company does not have any Secured Creditor.

3. The Applicant Company is engaged in providing manpower services, consultancy services and other related activities.

4. The rationale of the Scheme is given below:

a. All the Transferor and Transferee Companies are closely held un-listed Group Companies under common management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in consolidation of Group Companies and pooling of their resources into a single entity.

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b. The proposed Amalgamation would result in business synergy, pooling of physical, financial and human resource of these Companies for the optimal utilization of these factors in the combined entity.

c. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of redundancies, reduction of overheads, optimal utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme of Amalgamation will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

d. The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present are required to be made separately by the Transferee Company as well as by the Transferor Companies.

e. The proposed Amalgamation will streamline and simplify the shareholding structure.

f. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

g. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

5. It is stated that the Board of Directors of the Applicant Transferor Company No. 1 in its meeting held on 13th October, 2022, considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copy of the Board Resolution of the Applicant Company is attached as Annexure: A-1/5 with the application.

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6. The appointed date of the Scheme is 01.04.2022 as mentioned in the Para 1.1.iv of Scheme of Amalgamation which is annexed as Annexure-A-5 with the Application.

7. It is stated that Applicant Transferor Company No. 1 has filed the Audited Financial Statements as on 31.03.2022 which is attached as Annexure A-1/2 of the Application. The Applicant Transferor Company No. 1 have also filed its Un-audited Financial Statements (provisional) as on 30.09.2022 which is attached as Annexure A-1/3 of the Application.

8. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Company and Non-Applicant Companies have filed Certificates dated 23.01.2023 issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure: A-6 with Application.

9. It is further submitted that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Ms Mallika Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) vide Registration No. IBBI/RV/11/2022/14784 and the same is annexed as Annexure: A-4 with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report:

a. The Transferee Company will issue 1 (one) Equity Share of ₹10 each, credited as fully paid-up, to each of the Shareholders of the Transferor Company No. 1 against their respective Shareholding in the Transferor Company No. 1-Utkrisht Manpower Partners Private Limited (irrespective of number of shares held by these shareholders in the aforesaid Transferor Company No. 1).

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b. Since the Transferor Company No. 2 is a wholly owned subsidiary of the Transferor Company No. 1, no new share will be issued by the Transferee Company on amalgamation of the Transferor Company No. 2 with the Transferee Company.

Any fraction of share arising out of the aforesaid share exchange process, if any, will be rounded off to the nearest whole number.

10. It is stated that the Scheme [Annexure: A-5 of the Application] also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Clause 6 of the Scheme.

11. It is deposed by the Applicant that there is no sectoral regulator in any of the Applicant Company whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities, i.e., (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department. It is also deposed that the proposed Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to/approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation. There are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies.

12. The Applicant Transferor Company No. 1, i.e., Utkrisht Manpower Partners Pvt Ltd [Corporate Identification No. (CIN): U74910UP2012PTC121144; Income Tax Permanent Account No. (PAN): AABCU4770B] is a private limited company incorporated under the Companies Act, 1956 on 28.07.2012.

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13. The Applicant Company has furnished the details of the Equity Shareholders, Secured Creditors and Un-secured Creditors along with their Consent Affidavits, as the case may be, as per the following detail:

Company	**No. of Share Holders**	**Consent Given**	**No. of Secured Creditors**	**Consent Given**	**No. of Un-secured Creditors[1]**	**Consent Given**
Transferor Company No. 1	**2**	*All*	**Nil**	*N.A.*	**2**	*All*

It is further stated that:

In addition to the aforesaid Un-secured Creditors, the Transferor Company No. 1 had some 'Statutory and Other Dues' which have either been paid in full or being provision in nature, are not due for payment as on the date of this Application. Certificate from the Chartered Accountants confirming the same is enclosed.

14. Accordingly, the directions of this Bench in the present case are as under:

I. In relation to the Applicant Transferor Company No. 1:

a. The meeting of the Equity Shareholders of Applicant Transferor Company No. 1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b. Since, there is no Secured Creditor in the Applicant Transferor Company No. 1, the requirement of convening the meeting of Secured Creditors does not arise.

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c. The meeting of the Un-secured Creditors of Applicant Transferor Company No. 1 is dispensed herewith, keeping in view that all Un-secured Creditors have given their consents by way of affidavits.

15. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

16. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder

17. The appropriate prayer would also be made in the second motion petition for publication in newspapers.

18. Accordingly, the first motion application is allowed in the above terms and disposed of.

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Ashish Verma

Member (Technical)

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Praveen Gupta

Member (Judicial)